Building Prisons, Hollowing Cities: Fiscal Retrenchment and the Transformation of American State Capacity

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Abstract

The late twentieth century is commonly understood as an era of dramatic expansion in the American carceral state. Yet the rise of mass incarceration coincided with another transformation in American governance: the fiscal retrenchment of cities. This paper argues that these developments were not contradictory, but reflected the uneven structure of state capacity under American federalism. While states expanded their capacity to punish, many cities confronted eroding tax bases, declining intergovernmental support, and new institutional constraints on revenue raising that limited their capacity to sustain local public services. I document this transformation using historical data on municipal finances, public employment, and public safety, alongside contemporary accounts of urban fiscal retrenchment. I then isolate one mechanism through which this restructuring affected local state capacity by leveraging the staggered adoption of state-imposed tax and expenditure limitations (TELs). Using a difference-in-differences design and a panel of large-city municipal governments and law enforcement agencies across 44 states from 1970 to 1992, I find that TEL adoption reduced sworn police staffing by approximately 5.4 percent, or 10.4 officers per 100,000 residents. The findings recast the development of the carceral state as an uneven transformation of American state capacity: the expansion of institutions of punishment occurred alongside fiscal constraints that weakened the local institutions responsible for the everyday provision of public safety.

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Introduction

The American criminal legal system presents a puzzle of state capacity. By some measures, the institutions through which the state responds to crime appear extraordinarily strong. Beginning in the 1970s, governments dramatically expanded their capacity to prosecute, incarcerate, and supervise. Between 1975 and 1989 alone, the U.S. prison population increased from roughly 241,000 to 679,000, while the incarceration rate more than doubled. States built prisons, expanded correctional systems, and committed growing public resources to institutions of punishment. This extraordinary expansion of the American crime-control apparatus is frequently understood as evidence of a state that, even where it remained comparatively limited in other domains of social provision, developed formidable capacity through its coercive institutions (Weaver and Lerman 2010; Hinton 2016; Simon 2007).

Yet the same period reveals a very different trajectory in the institutions responsible for providing public safety on the ground. From 1962 to 1994, homicide clearance rates fell from approximately 93 to 64 percent, with particularly pronounced declines for gun homicides involving Black victims (Cook and Mancik 2023). These institutions also operated in a context of exceptionally high levels of serious violence. U.S. homicide rates have historically stood several times above those of other advanced industrial democracies (Richardson and Hemenway 2011), placing greater demands on the institutions responsible for preventing, investigating, and responding to violence. Yet relative to this level of violence, the United States employs far fewer police officers than its advanced industrial peers (Figure A1).[1] Remarkably, the United States developed extraordinary institutional capacity to confine people convicted of crimes while remaining far less consistently capable of deterring violence and identifying and apprehending those responsible for it.

How could the coercive arm of a state develop to be simultaneously so strong and so weak? I argue that this apparent contradiction arises partly from treating the American criminal state as a single institutional apparatus. Public safety is instead produced through a highly decentralized system in which different functions are assigned to governments with distinct fiscal bases, revenue-raising authority, and exposure to economic change. The institutions most emblematic of the rise of the carceral state, particularly prisons, are principally financed and administered by state governments. Yet the everyday work of maintaining police forces, responding to crime, investigating violence, and apprehending offenders is overwhelmingly organized at the local level. The American system of fiscal federalism can therefore produce divergent trajectories of state capacity within the same political system: governments at one level can expand their

[1] For example, Lewis and Usmani (2022) show that the U.S. prisoner-to-homicide ratio is somewhat above the median among developed countries, while its police-to-homicide ratio is exceptionally low: the United States has roughly one-ninth as many police officers per homicide as the median developed country.

capacity to punish even as governments at another may struggle to sustain the personnel and organizations through which public safety is produced.

This paper argues that this institutional fragmentation became especially consequential during the political-economic transformation of the late twentieth-century American city. Beginning in the 1960s and accelerating through subsequent decades, population and economic activity increasingly shifted away from many central cities, eroding portions of the taxable economic base on which municipal governments depended. These changes were not geographically independent of the demands placed on local government. Many of the cities experiencing the most substantial demographic and economic decline were also confronting high and rising levels of violent crime (Curci and Masera 2025). The fiscal resources available to provide public safety could therefore deteriorate precisely where demands on public-safety institutions were greatest.

At the same time, the mechanisms through which cities might have compensated for weakening local fiscal bases were themselves becoming more constrained. The intergovernmental fiscal environment on which many cities had increasingly come to depend was depleted, while taxpayer revolts produced new state-level restrictions on local revenue raising (Martin 2008). Retrenchment in intergovernmental support weakened the ability of economically declining cities to seek assistance from higher levels of government, while state-imposed restrictions on taxation increasingly constrained the ability to mobilize additional resources locally. Fiscal retrenchment therefore did not simply reduce the aggregate resources available to municipal governments. I argue that this restructuring deepened the geographic mismatch between demands for public safety and the fiscal capacity of local governments to meet them.

Revisiting developmental accounts of the criminal legal system as a project of state-building, I conceptualize these changes as a transformation in the fiscal foundations of American coercive capacity. Governments require resources not simply to spend, but to sustain organizations, employ personnel, and perform the functions assigned to them. Their ability to do so depends in part on their extractive capacity: the institutional ability to mobilize resources from the economies they govern and convert those resources into administrative capacity (Hanson and Sigman 2021). In a decentralized fiscal system, however, this extractive capacity is distributed unevenly across governmental tiers and places. Governments differ in the economic bases from which they draw revenue, the authority they possess to mobilize it, and their access to resources generated elsewhere. These differences become particularly consequential under fiscal pressure. Local governments dependent on territorially bounded and declining economic bases may have limited ability to replace lost revenues, even as higher-tier governments drawing on broader fiscal pools retain the resources necessary to sustain or expand their institutions.

I begin by synthesizing scholarship in comparative politics, public finance, and public choice economics to

develop a theory of how fiscal federalism shapes divergent trajectories of state capacity development across levels of government. I then extend this framework to public safety, theorizing a capacity-demand mismatch that emerges when demands for local state capacity become concentrated in places with increasingly constrained fiscal resources. I first examine how shifts in population and economic activity across jurisdictions reshaped the taxable resources available to cities, alongside two institutional developments that further altered the distribution of local fiscal capacity: the retrenchment of intergovernmental transfers, which had historically helped buffer disparities in local fiscal resources, and the proliferation of state-imposed restrictions on local taxation, which constrained cities' ability to mobilize their own revenues. Against this backdrop of fiscal retrenchment, I demonstrate that the expansion of local public-safety personnel was often limited during the violent crime wave and prison boom. Indeed, I document widespread and recurring episodes of personnel contraction across local public-safety institutions and municipal government more broadly, even as demands for public safety remained high or increased.

Empirically, I combine longitudinal data on municipal finances, demographic change, crime, and public-safety employment with historical newspaper evidence to examine the mechanisms linking these trends. To address the endogeneity concerns inherent in estimating the consequences of fiscal retrenchment, I exploit the widespread, staggered adoption of state-imposed tax and expenditure limitations (TELs) in a difference-in-differences framework. By introducing institutional constraints on local governments' authority to mobilize revenue, these policies provide leverage for identifying how fiscal restrictions affected municipal expenditures and public-safety capacity. I find that TEL adoption reduced per-capita police-protection spending by approximately 6.1 percent and sworn police staffing by 4.9 percent, equivalent to approximately 9.6 fewer officers per 100,000 residents. These findings suggest that the proliferation of fiscal restrictions constrained local investment in public safety even as states expanded correctional capacity, yielding a more limited expansion of coercive state capacity than previous accounts suggest. Finally, I use archival newspaper evidence to examine how local officials understood and responded to these fiscal pressures and to characterize the strategies through which cities adapted to constrained resources and growing demands for public safety.

Together, these analyses show that the violent crime increases of the 1980s and early 1990s occurred against a backdrop of already weakened and increasingly unequal local fiscal capacity, limiting the ability of many cities to sustain and expand the public-safety institutions responsible for responding to violence before cases reached the correctional system. Placing the rise of mass incarceration within this context reveals the uneven development of American coercive capacity in a decentralized system, as the institutions of punishment expanded alongside growing fiscal constraints on many of the local institutions responsible

for public safety.

These analyses offer three key contributions. First, it revisits the the relationship between mass incarceration and American state-building. The extraordinary expansion of prisons is often understood as evidence of the growing strength of the American coercive state. I show that the same decades that produced an extraordinary expansion in the institutional capacity to punish also placed significant fiscal pressures on many of the local governments responsible for the everyday provision of public safety. State capacity did not simply expand or retreat. Rather, it developed unevenly across institutions, places, and levels of government. States accumulated the infrastructure necessary to incarcerate unprecedented numbers of people while some cities faced mounting constraints on the resources available to sustain local personnel and services amidst rises in violent crime. What appears in the aggregate as an increasingly powerful criminal state may therefore conceal consequential pockets of local state weakness.

The paper also contributes to comparative research on state capacity and subnational variation. Existing work has importantly moved beyond treating state capacity as a national attribute, documenting substantial geographic variation in the reach and effectiveness of the state within countries (Luna and Soifer 2017; Foa and Nemirovskaya 2016; Suryanarayan 2024). I illuminate a related dimension of variation: capacity can also develop unevenly across tiers of government, even within a single domain of state activity. In the American case, state governments dramatically expanded their coercive capacity through investments in institutions of punishment, even as many local governments faced mounting fiscal constraints on the institutions responsible for front-end public safety. State capacity, in this sense, can vary not only across territory or policy domains, but vertically within the institutional architecture of the state itself.

Lastly, the paper moves beyond broad accounts of urban fiscal restructuring to examine the mechanisms that conditioned local governmental responses to economic and demographic change and the violent-crime wave. Changes in local revenue structures, dependence on intergovernmental transfers, and authority to mobilize own-source revenue shaped the terms on which cities could sustain public-safety capacity under fiscal pressure. This perspective treats administrative retrenchment not as an automatic consequence of declining resources, but as the outcome of a politically contested process of capacity building across governmental tiers in a decentralized system. It thereby connects the political economy of urban fiscal restructuring to the development of the criminal legal system—two transformations of late-twentieth-century American governance that are generally studied separately. Taken together, these developments help explain how the American state could expand its capacity to punish while many local governments remained constrained in their capacity to provide public safety where it was most needed.

State Capacity-Building and Fiscal Federalism

Recent work in comparative politics has displaced the view of state capacity as a single national attribute. Capacity is multidimensional: extractive, coercive, administrative, legal, and informational capabilities may rest on different organizations and need not develop in tandem (Hanson and Sigman 2021; Berwick and Christia 2018; Suryanarayan 2024). A parallel literature documents pronounced within-country variation in the territorial reach of state institutions and in the provision of goods and rights across localities (Soifer 2008; Luna and Soifer 2017; Steinberg 2018; Harbers and Steele 2020). This work has made clear that apparently strong states may contain "islands" of weak presence and that subnational outcomes are shaped by local bureaucracies, political coalitions, and vertical relations with higher-level governments (Kyle and Resnick 2019; Harbers and Steele 2020; Suryanarayan 2024). Yet accounts of uneven capacity have generally emphasized differences across territories, sectors, or the state's distinct functional dimensions. They have less often centered the fiscal organization of authority across governmental tiers as a source of divergence within a common state apparatus. This paper extends these insights by examining how linked coercive functions can develop unevenly when they are financed and administered by different levels of government. To develop this argument, I first draw on fiscal federalism's account of the tradeoff between decentralized public-goods provision and unequal fiscal capacity, then extend this framework to public safety.

Fiscal Federalism and the Uneven Provision of Public Goods

A long tradition in public choice economics has highlighted the tension that exists between the benefits of decentralized public-goods provision and the fiscal inequalities that such institutional arrangements can generate. Classic accounts emphasize the potential efficiency advantages of assigning public services to lower levels of government. Where preferences and service needs vary geographically, local governments can tailor the mix of taxes and public goods to local conditions more readily than a central government providing a uniform bundle of services (Tiebout 1956; Oates 1972). Tiebout's account further suggests that mobility can reinforce this process, as households sort across jurisdictions according to their preferred combinations of taxation and public services. Oates subsequently formalized the broader decentralization tradeoff: local provision can better accommodate heterogeneous preferences, while centralized provision may be advantageous where public goods generate substantial interjurisdictional spillovers.

Yet the same institutional arrangement that makes locally tailored public-goods provision possible also ties the capacity to provide those goods to geographically bounded fiscal resources. When governments finance

services substantially from their own tax bases, differences in taxable wealth, population, and economic activity can translate into differences in the resources available for public provision (Manduca, Highsmith, and Waggoner 2026; Freemark, Steil, and Thelen 2020). Moreover, mobility itself can alter those fiscal foundations: the movement of residents and economic activity across jurisdictional boundaries changes not only the demand for local services but also the resources available to finance them. Intergovernmental transfers and broader-based financing can partially mitigate these disparities, while decentralization without such equalizing mechanisms can leave local governments with sharply different capacities to meet public needs. Importantly, the availability of these fiscal buffers is itself historically contingent. In the United States, the 1980s brought a sharp retrenchment in federal-local aid, the termination of General Revenue Sharing, and a shift toward state-administered block grants, leaving local governments more exposed to unequal local fiscal bases (Weir and King 2021; Morra 1990; Doolittle and Nathan 1987; Conlan and Beer 1988). Fiscal federalism can therefore create a fundamental tension between the advantages of locating governmental responsibility close to the populations being served and the uneven fiscal capacity of the jurisdictions charged with providing those services. The next section applies this framework to the American criminal legal system, tracing how its institutional organization shaped the development of coercive capacity amid the local fiscal restructuring of the late twentieth-century city.

The Expansion of the Criminal Legal System

The rapid growth of the incarcerated population is widely understood as a major episode of American state-building, marked by sustained investment in the institutions, personnel, and administrative infrastructure of coercion (Gottschalk 2008; Hinton 2016; Lerman and Weaver 2014). Influential accounts have argued that the turn toward punitive and aggressive crime control cannot be understood as a simple response to rising or changing crime rates. Rather, it emerged from the political conflicts of the postwar period and from changing efforts to govern racial inequality, urban disorder, and social marginality. Weaver argues that punitive crime policy became a political "frontlash": a way for national politicians to respond to the racial and partisan conflicts of the civil-rights era after explicitly racial appeals had become less legitimate (Weaver 2007). Hinton similarly argues that the War on Crime developed in important ways through the institutions of the War on Poverty, as federal policymakers increasingly treated poverty and disorder in Black urban communities as problems to be managed through law enforcement (Hinton 2016). Simon similarly argues that crime became an increasingly powerful framework through which political elites organized the governance of a much wider range of social problems (Simon 2007).

Together, these accounts recast the prison boom as more than an increase in punishment. They show how

political conflict helped direct public authority, institutional development, and public resources toward the institutions of crime control. From this perspective, the expansion of prisons represents not state weakness but the consolidation and expansion of American coercive capacity (Lerman and Weaver 2014; Simon 2007). Yet this literature has generally centered the development of national crime policy and state-level punishment. Local governments appear as important sites where the War on Crime was implemented, but less often as governments with distinct fiscal foundations and varying capacity to sustain the institutions placed under their responsibility.



Figure 1: The Local Capacity-Demand Mismatch in Public Safety

That distinction matters because policing, prosecution, adjudication, and incarceration are connected components of the state's response to crime, but they are not financed or administered by the same governments. Municipal and county governments bear much of the responsibility for the front end of the system, maintaining police departments and other institutions responsible for responding to crime, investigating violence, and bringing people into the criminal legal process. State governments, by contrast, bear much of the responsibility for downstream coercive infrastructure, most notably the financing and administration of prisons (Zimring, Hawkins, and Hawkins 1993). Prior work on federalism and crime policy has emphasized that lower levels of government may provide more accessible venues for communities seeking to shape the direction of crime policy (Lisa L. Miller 2008). But political access does not itself supply the fiscal and administrative resources needed to translate demands for public safety into durable institutional capacity.

Under the institutional constraints of U.S. fiscal federalism, this division of responsibility creates the possibility of a local capacity-demand mismatch. The demand for public safety need not be distributed in the same way as the fiscal resources available to finance it. A city experiencing population or economic decline may face a weakening tax base even as violent crime places growing demands on police personnel and other local institutions. It may respond by raising own-source revenue, drawing on intergovernmental transfers, borrowing, or reallocating spending. But where those adjustment mechanisms are limited, rising demand need not produce an equivalent expansion in local public-safety capacity. State governments, meanwhile, can finance prisons from revenue pooled across a broader territory. The fiscal burdens associated with different parts of the criminal legal system are therefore not borne uniformly.

Figure 1 summarizes this argument. Economic and demographic decline can erode the resources available to municipal governments without producing a corresponding decline in the demand for public safety. When cities cannot replace lost revenue or draw on durable outside support, fiscal pressure can limit staffing and organizational capacity even as violence remains high or rises.[2] The mismatch can therefore become self-reinforcing: persistent service demands place pressure on already constrained institutions, while limited fiscal flexibility restricts governments' ability to rebuild the capacity necessary to meet them.

The expansion of imprisonment, then, need not imply a corresponding expansion in the capacity to provide public safety throughout the criminal legal system. Instead, the expansion of imprisonment may have been deeply intertwined with a growing divergence between state-level punishment and local institutions' capacity to respond to violence. I now turn to the fiscal restructuring of American cities during the late twentieth century to examine how this mismatch emerged in practice.

The Fiscal Retrenchment of the American City

While fiscal federalism has long structured American governance, its practical operation has been repeatedly contested throughout American political development, reflecting struggles over which level of government should finance public services, raise revenue, and bear the risks of fiscal inequality (Robertson 2017). This paper argues that understanding the development of the American public-safety apparatus requires situating it within twentieth-century conflicts that, alongside economic and demographic change,

[2]To be sure, violence was endogenous in part to the capacity of local governments to prevent and respond to crime. Yet its broad rise cannot be reduced to local governmental capacity alone. Research has linked national changes in violence to forces operating well beyond individual municipal governments, including cohort and demographic dynamics, childhood lead exposure, and, particularly for the late-1980s increase in homicide, the emergence of crack markets and diffusion of firearms among young people. The focus here is not whether local institutions themselves affected violence, but how cities with different fiscal capacities were positioned to respond when broader forces increased the demands placed on local public-safety institutions.

profoundly restructured the fiscal position of American cities.[3]

This section examines this transformation in three stages. I first draw on existing accounts of postwar urban decline, alongside longitudinal data on municipal finances and demographic change, to characterize changes in the foundations of municipal finance, focusing particularly on how population and economic decline reshaped cities' local revenue bases. Second, I situate these changes within the broader restructuring of local public finance, examining both the retrenchment of intergovernmental revenue sharing and the state-imposed limits on local taxation that emerged from the tax revolt. Drawing on prior scholarship and municipal finance data, I show how these changes weakened the extent to which higher-level support and local revenue raising could buffer disparities in local fiscal resources. Third, I bring these developments together with data on public-safety spending, employment, and violent crime to examine how changes in cities' fiscal position corresponded with their capacity to respond to rising demands for public safety. This descriptive analysis shows that many cities entered the crime wave with fiscal conditions that made an expansion of local public-safety capacity far from assured, providing the context for the subsequent analysis of whether—and where—local capacity retrenched as demands increased.

The Changing Fiscal Geography of Urban America

The fiscal restructuring of American cities emerged from a broader transformation of the postwar urban political economy. Beginning well before the fiscal crises of the 1970s, suburbanization, deindustrialization, and the movement of employment and investment away from central cities weakened the economic foundations of many older urban governments. These changes were deeply structured by racial segregation and discriminatory housing and labor-market institutions, which concentrated their consequences within particular cities and neighborhoods (Sugrue 2014; Beauregard 2013). As Sugrue shows in Detroit, the urban crisis did not begin with the social and political upheavals of the 1960s. It developed over the postwar period through the interaction of industrial restructuring, racial exclusion, and the changing geography of employment and residence (Sugrue 2014).

The resulting population losses were widespread, though unevenly distributed. Older industrial cities in the Northeast and Midwest were particularly exposed, as manufacturing employment moved to suburbs, the South, and overseas and middle-class households left central cities for newly expanding suburban jurisdictions. But urban decline was not limited to a small number of exceptional cases: thirty-three of the

[3]My emphasis is on the geographic mismatch between rising violent crime and local governments capacity to provide public safety. I therefore focus on cities with populations of 100,000 or more, where violent crime rates have historically been systematically higher than in smaller jurisdictions and where the fiscal pressures examined here are consequently most relevant to the provision of public safety.

nation's fifty largest cities lost population during the 1970s, and scholars increasingly described population loss as a structural feature of the postwar metropolitan landscape (Beauregard 2009; Bradbury, Downs, and Small 2011). Some cities continued to grow, particularly in the South and West, while others lost residents and employment over successive decades. The fiscal implications of these divergent trajectories were substantial. Because municipal governments depended heavily on revenues generated within geographically bounded economies, the movement of population, property wealth, and employment outside city boundaries could weaken the resources available for local public services even where service needs remained high (Peterson 1981; Beauregard 2013).

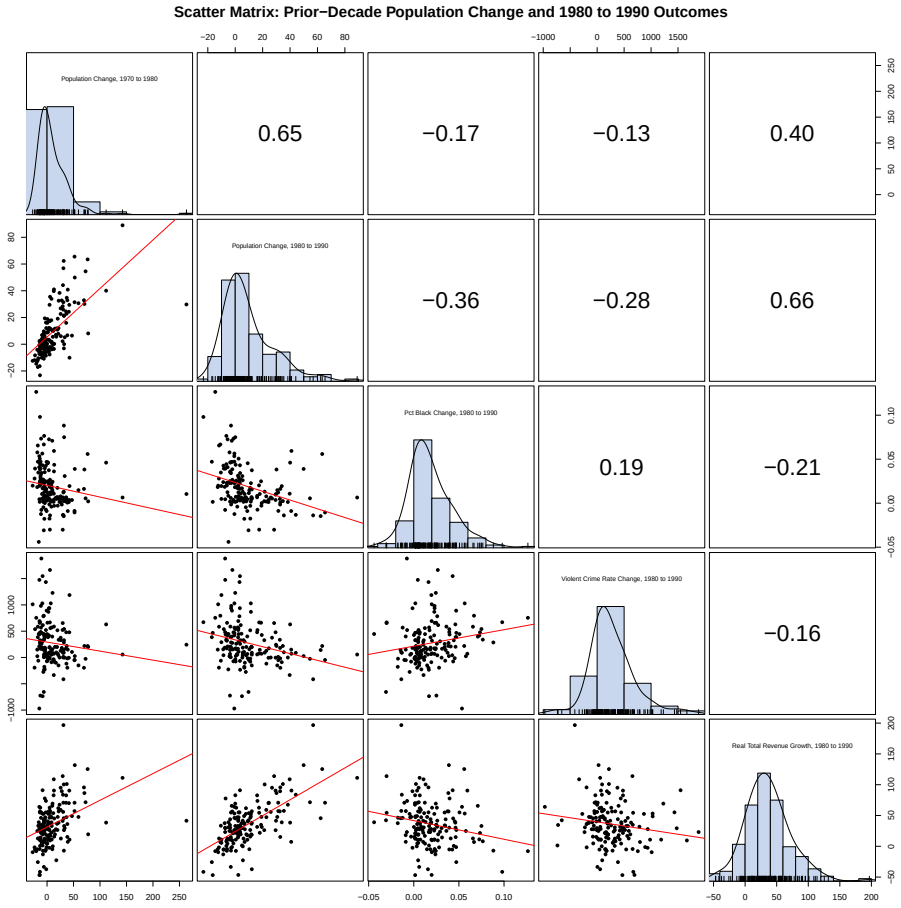


Figure 2: Relationships among central-city population change, change in Black population share, real revenue growth, and change in violent-crime rates, 1980 to 1990. Points represent 162 U.S. cities with populations of at least 100,000 in 1980; fitted lines show bivariate linear associations. Sources: U.S. Census Bureau; FBI Uniform Crime Reports; Government Finance Database. Revenue is adjusted to 1990 dollars using CPI-U.

Figure 2 shows these divergent trajectories in the large-city sample. Population decline was common: 78 of the 173 cities in the full cohort (45.1 percent) lost population between 1970 and 1980. It was also often persistent. Of those cities, 47 (60.3 percent) lost population again during the 1980s, and population change in the two decades was strongly correlated ($r = 0.65$). These demographic changes were connected to cities' subsequent fiscal position. Population change in the 1970s was positively associated with real total-revenue growth in the 1980s ($r = 0.40$), while cities that grew during the 1980s generally experienced stronger contemporaneous revenue growth ($r = 0.66$). The figure also shows that population decline in the 1980s was associated with both growing Black population shares and larger increases in violent-crime rates. The relationships between revenue growth and changes in violent crime or Black population share are more modest, but point in the same direction: cities facing the sharpest changes in demand and fiscal base were those with weaker revenue growth.

Together, these patterns show that rises in violence unfolded amid widespread, if uneven, population decline and growing constraints on the taxable wealth available to many city governments. Cities therefore entered this period from very different fiscal positions: some retained growing populations and revenue bases, while others faced rising public-safety demands as the residents, property values, and economic activity on which local revenues depended became increasingly constrained. The next section considers how changes in intergovernmental finance further reshaped these positions by weakening a key source of support for cities with limited local fiscal bases.

Federal Retrenchment, the Tax Revolt, and Local Fiscal Authority

The effects of urban decline on municipal fiscal capacity depended not only on changes in cities' own economic and demographic bases, but also on the intergovernmental fiscal system in which they were embedded. During the 1960s and 1970s, the federal government assumed a substantially larger role in financing state and local government: Great Society programs expanded federal aid, while Nixon-era reforms gave subnational governments greater discretion over some resources (Conlan and Beer 1988; Doolittle and Nathan 1987). General Revenue Sharing, created in 1972, was especially important because it provided flexible funds for general governmental operations rather than restricting spending to particular programs. By the end of the 1970s, federal assistance extended across hundreds of programs and had become an important component of state and local finance (Conlan and Beer 1988; Morra 1990). Although this system did not eliminate inequalities generated by metropolitan fragmentation or urban decline, it meant that cities' resources were not determined solely by locally bounded tax bases. For cities confronting population loss, industrial restructuring, and growing service demands, intergovernmental revenues provided an impor-

tant, if incomplete, buffer against declining locally generated resources (Weir and King 2021; Conlan and Beer 1988).

In the 1980s, however, a new federal agenda led by the Reagan administration reduced that support through domestic spending cuts and changes to the administration of state and local programs (Doolittle and Nathan 1987; Conlan and Beer 1988). For example, the Omnibus Budget Reconciliation Act of 1981 eliminated or consolidated numerous grants, folding seventy-seven categorical programs into nine block grants that were often funded below the combined levels of the programs they replaced and routed through state governments rather than directly to localities (Conlan and Beer 1988; Morra 1990). General Revenue Sharing was also phased out, with the local-government program ending after fiscal year 1986 (Conlan and Beer 1988; Doolittle and Nathan 1987).

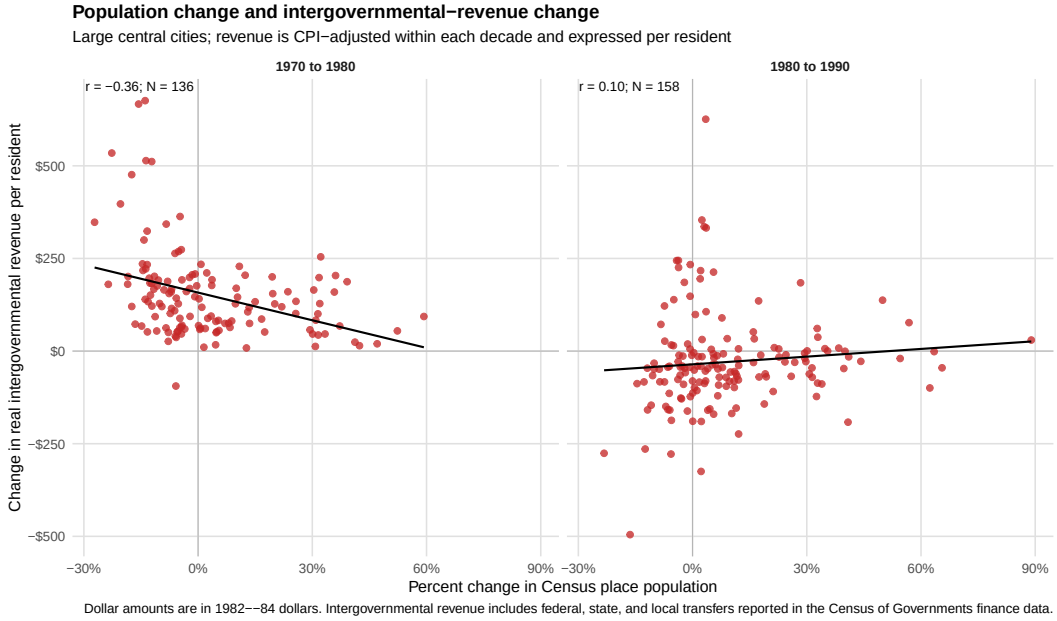


Figure 3: Violent-crime growth and municipal employment change, 1980 to 1990. Points represent 149 large central cities, excluding Chicago; red indicates population decline and blue indicates population growth. Neither total municipal employment nor police-protection employment increased systematically with violent-crime growth, while population-growing cities generally experienced stronger employment growth.

Given that the retrenchment was concentrated in direct federal-local aid, the consequences were particularly consequential for cities. Aggregate federal grants did not disappear during the 1980s; some state-administered and individual-oriented programs, especially Medicaid, continued to grow. But the programs

that had provided flexible or direct support to local governments were reduced sharply (Morra 1990; Conlan and Beer 1988). According to the GAO, federal aid fell from 14.3 percent of city revenues in 1980 to 6.2 percent in 1986—a 57 percent reduction in its share of municipal revenues (Morra 1990). The changing intergovernmental system therefore did more than reduce one source of city revenue. It left local governments more dependent on resources generated within jurisdictions whose populations, property wealth, and economic activity were becoming increasingly unequal.

Figure 3 shows how this broader shift changed the relationship between urban decline and external fiscal support. During the 1970s, cities experiencing greater population loss generally received larger increases in real per-capita intergovernmental revenue ($r = .36$).[4] By the 1980s, that relationship had largely disappeared. Changes in real per-capita intergovernmental revenue were essentially unrelated to population change across large central cities ($r = .10$). Cities losing population were no longer receiving the relative increases in outside support visible in the previous decade. As population and taxable economic resources continued to move away from many central cities, local governments became increasingly responsible for absorbing those losses within their own fiscal systems. The result was a growing dependence on locally available resources precisely as the economic geography underlying those resources was becoming increasingly unequal.

The Tax Revolt and Constraints on Local Fiscal Authority

Alongside the retrenchment of intergovernmental support in the 1980s, a broader tax-revolt movement reshaped the fiscal authority available to local governments. As Martin argues, property-tax revolts were not simply short-lived reactions to rising assessments in the 1970s. Rather, they helped remake the terms of American fiscal politics, creating durable constituencies for limiting taxation and recasting tax restraint as a broader constraint on government (Martin 2008). Proposition 13 in California became its most visible expression, but similar pressures produced tax and expenditure limitations (TELs) across states during the late 1970s and 1980s. These policies took varied forms—limiting property-tax rates or assessments, capping revenue growth, requiring voter approval for particular tax increases, or restricting expenditures—but each narrowed the fiscal discretion of local governments.

Consequentially, cities confronting population or economic decline could not necessarily offset lost fiscal capacity by raising additional own-source revenue. The adoption of TELs shifted authority over local fiscal

[4]This pattern should not be read as evidence that transfers were deliberately calibrated to compensate cities for population loss. It does show, however, that declining cities tended to receive relatively greater growth in external resources during a decade when federal support for state and local government was still expanding.

policy upward to state governments and restricted the margins through which municipalities could respond to changing local conditions. Although tax limits had earlier antecedents, scholars locate their rapid proliferation in the late 1970s and early 1980s, when a broad tax-revolt movement spread fiscal constraints across states and localities (Martin 2008; Mullins and Joyce 1996).

Public-finance scholarship has generally found that tax and expenditure limitations (TELs) constrained local fiscal resources, although their effects varied with their legal design and the fiscal institutions of particular states. Shadbegian finds that TELs reduced local government revenues, expenditures, and property-tax collections (Shadbegian 1998), while other work emphasizes how these restrictions altered the composition of local finance, encouraging greater reliance on nontax revenues and other sources of fiscal support (Mullins and Joyce 1996). Importantly, these constraints did not operate uniformly across jurisdictions. Mullins (2004) finds that TELs were associated with widening fiscal disparities, with particularly pronounced effects in urban-core jurisdictions and economically disadvantaged communities. Research has also examined how fiscal restrictions shaped the allocation of resources across governmental functions. Figlio and O'Sullivan (2001), for example, find that tax-limited municipalities sometimes disproportionately reduced visible service inputs, including uniformed police personnel, relative to administrative expenditures. Nevertheless, much of this literature has focused on aggregate fiscal outcomes, revenue substitution, or the allocation of municipal resources, leaving less systematic evidence on how state-imposed fiscal constraints shaped the development of local public-safety institutions during the historical expansion of the carceral state. The following sections take up that question.

Violent Crime Wave

These fiscal transformations coincided not only with significant investments in prison infrastructure, but also with an extraordinary rise in demands for public safety. Violent crime rose sharply beginning in the 1960s and accelerated through the 1970s. By 1980, the volume of violent crime recorded by the FBI was roughly 60 percent higher than in 1971, while the national homicide rate had more than doubled from its early-1960s level. Homicide reached 10.2 deaths per 100,000 residents in 1980, declined during the first half of the decade, and then rose again through the late 1980s and early 1990s. The wave was not an abstract national trend: it brought sustained lethal violence to many urban communities, with especially devastating consequences in predominantly Black neighborhoods (Forman 2017; Lisa Lynn Miller 2016).

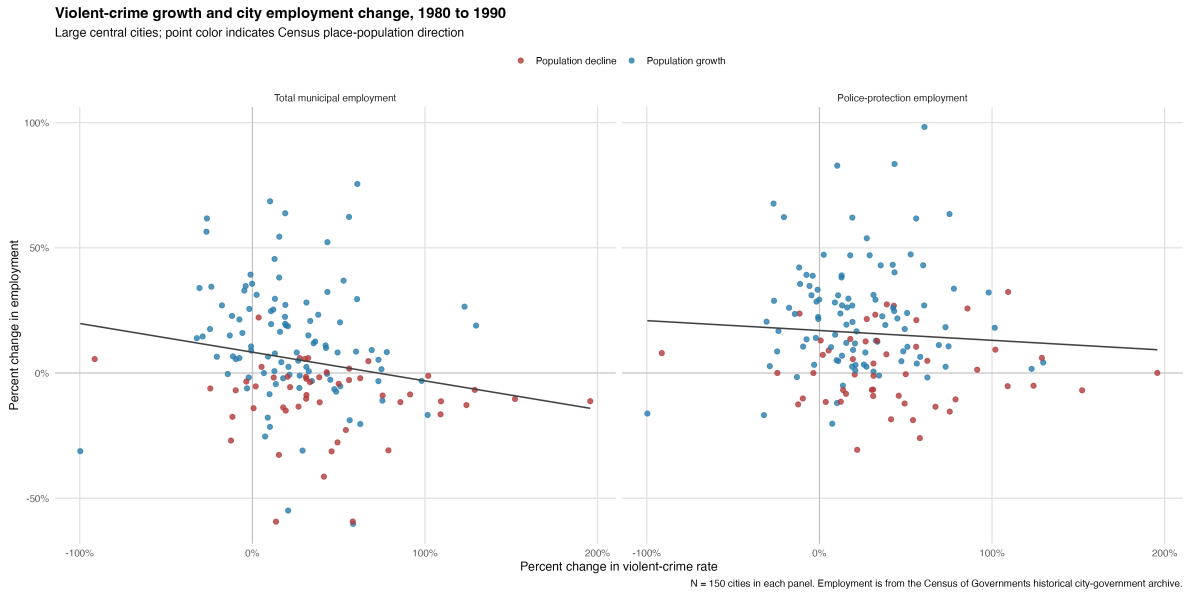


Figure 4: Violent-crime growth and municipal employment change, 1980 to 1990. Points represent 149 large central cities, excluding Chicago; red indicates population decline and blue indicates population growth. Neither total municipal employment nor police-protection employment increased systematically with violent-crime growth, while population-growing cities generally experienced stronger employment growth.

Yet rising demands for public safety did not necessarily generate corresponding expansions in the local administrative resources available to meet them. Figure 4 illustrates this mismatch for large central cities during the 1980s. The figure plots city-level changes in violent-crime rates against changes in total municipal employment and police-protection employment between 1980 and 1990, distinguishing cities that gained and lost population over the decade. If local public-safety capacity expanded mechanically with demands for public safety, cities experiencing the largest increases in violence should have experienced correspondingly large increases in police employment. Moreover, prominent accounts of the development of the carceral state emphasize the substantial federal investment in local law-enforcement capacity that preceded and accompanied this period, particularly through programs administered by the Law Enforcement Assistance Administration (LEAA) (Hinton 2016). Against this backdrop, one might expect the expansion of the carceral state to have been accompanied by substantial growth in local police capacity. The descriptive relationship suggests otherwise. Across cities, greater increases in violent crime were not associated with greater growth in police employment. If anything, the fitted relationship is slightly negative (see Appendix Figure X for this trend in the 1970s and 1990s). The pattern is even more pronounced for total municipal

employment, where many cities experiencing substantial increases in violent crime simultaneously experienced stagnant or declining public employment. The population distinction is particularly revealing. Cities losing population appear disproportionately among those in which employment stagnated or contracted, including many cities experiencing substantial increases in violent crime.

Why didn't local governments expand their administrative capacity in step with increasing public safety demands? This pattern could, of course, reflect several processes. First, population loss may itself have reduced the perceived need for municipal employment, as governments adjusted staffing levels to serve smaller resident populations. Second, rising personnel costs could have allowed expenditures to increase without producing commensurate growth in employment, particularly in labor-intensive services such as policing. Third, cities may have chosen to protect other expenditures or respond to fiscal pressure through changes in taxes, borrowing, compensation, or the organization of service delivery rather than through workforce expansion. Finally, and most centrally for the argument developed here, population and economic decline may have weakened the fiscal resources available to governments precisely as rising violence increased demands on local public-safety institutions. Under this account, the limited expansion of police employment reflects not an absence of demand for additional capacity, but constraints on governments' ability to translate those demands into additional personnel and services. In the sections that follow, I draw on quantitative and qualitative evidence to distinguish this fiscal-capacity explanation from alternative accounts of limited employment growth and to examine how cities adapted when fiscal resources and demands for public safety increasingly diverged.

Fiscal Constraints and the Restructuring of Local Public Safety Capacity

The preceding sections develop a theory of how fiscal federalism can generate a capacity-demand mismatch in local government. In this section, I examine how that mismatch manifested in the institutions responsible for providing public safety during the fiscal restructuring of the late twentieth-century city. I begin with administrative data documenting the retrenchment of local public-safety personnel during this period. In contrast to accounts that infer an expansion of local police capacity from increased federal investment in local law enforcement, I show that personnel contractions were both widespread and recurring across many large American cities.

I then examine the fiscal mechanisms underlying these patterns, linking measures of personnel retrenchment to changes in cities' underlying fiscal resources. I examine how retrenchment varied with revenue and population decline, and then exploit state-imposed tax and expenditure limitations to assess how institu-

tional constraints on local revenue raising affected the resources available to sustain public-safety capacity. Finally, I draw on contemporary newspaper accounts to trace how these fiscal pressures translated into personnel and service reductions on the ground. These accounts reveal how local officials understood the sources of fiscal pressure and the strategies they employed in response, allowing me to distinguish direct personnel cuts from less visible forms of retrenchment, including attrition, vacancy freezes, and deferred hiring, and to examine their perceived consequences for public-safety provision and crime.

Stylized Fact 1: Police Retrenchment Was Widespread and Recurring During The Era of Carceral Expansion

I begin by examining annual police employment data from 1970 through 2000 for the large-city cohort. I match city police agencies to Census places using agency identifiers and place FIPS codes, then aggregate sworn-officer counts across all city agencies serving each place. This produces an annual staffing series for 165 cities in the 1980 large-city cohort.[5] I define a police staffing contraction as a year in which a city's sworn-officer count falls by at least 5 percent and by at least 10 officers relative to the prior consecutive year. The percentage threshold ensures that minor year-to-year fluctuations are not treated as meaningful reductions, while the ten-officer floor prevents a small numerical change in a small department from qualifying as a city-level contraction. These are screening events in reported staffing data, not necessarily verified layoffs: they may reflect attrition, hiring freezes, reorganizations, reporting changes, or other mechanisms that reduce the recorded number of officers.

Figure 5 displays the timing of these screened contractions. The top panel reports the annual number of contraction events across all 165 cities. The lower panel identifies the fourteen cities with five or more screened contractions over the full period; dots mark the event years, and the total at right counts one-year contractions meeting the 5-percent/10-officer rule. I also classify whether a one-year reduction persists into the following year, rebounds rapidly, or is observed at the boundary of the data. Generally, police staffing contractions were widespread rather than confined to a small set of cities: 121 of the 165 cities (73 percent) experienced at least one screened contraction between 1970 and 2000. At the same time, their frequency was unevenly distributed. Many cities experienced only one or a few contractions, whereas fourteen cities recorded five or more and account for a disproportionate share of all events.

[5]The measure is the number of sworn officers, rather than officers per capita, because the aim is to identify absolute contractions in a citys policing workforce.

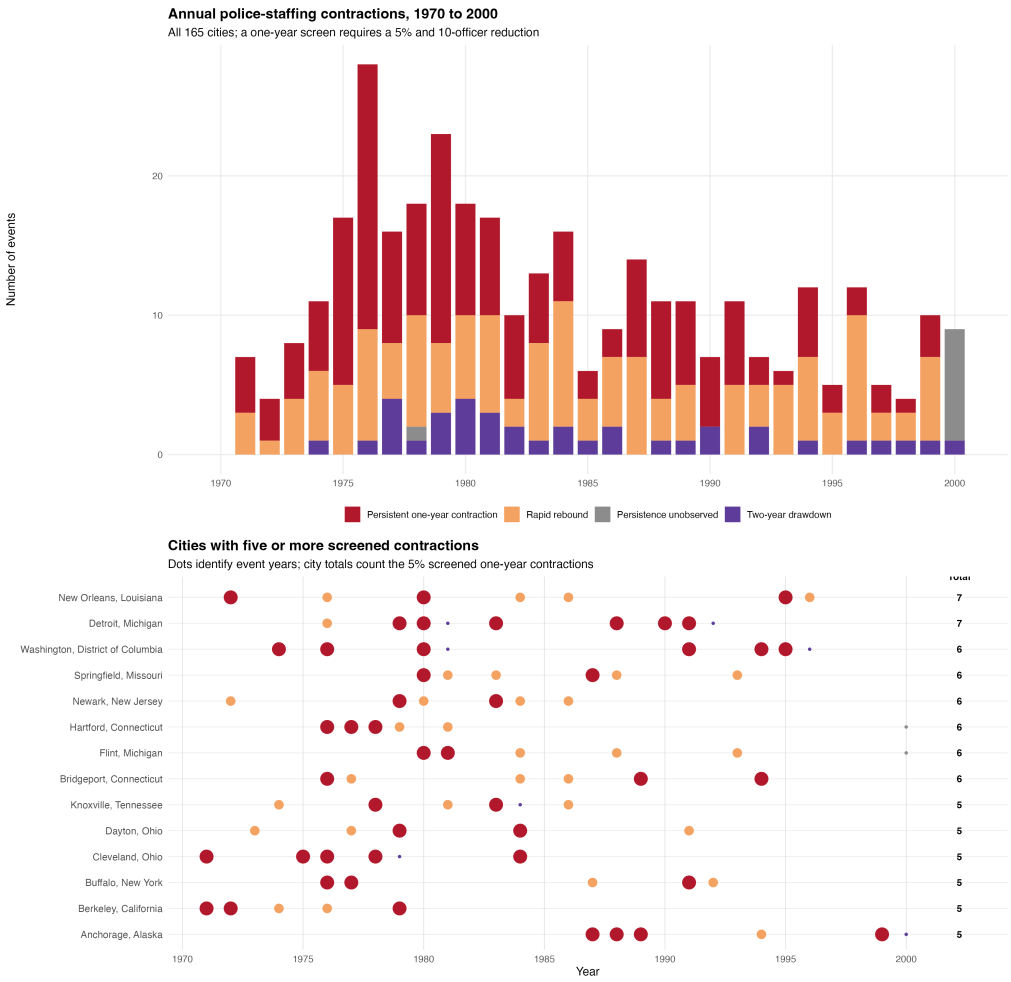


Figure 5: Annual police-staffing contractions in large U.S. cities, 1970 to 2000. The upper panel counts annual contraction events across 165 cities; the lower panel traces the timing of events in the 14 cities with five or more. A screened one-year contraction is a decline of at least 5 percent and 10 sworn officers; red marks contractions that remained at least 5 percent below the prior years staffing level the following year, while orange marks rapid rebounds. Events indicate staffing reductions, not necessarily confirmed layoffs.

Stylized Fact 2: Police Retrenchment Was Concentrated in Cities with Weak Revenue Growth

Next, I examine whether variation in local fiscal capacity is associated with variation in police staffing contractions. For each city and decade, I calculate inflation-adjusted growth in total municipal revenue from the beginning to the end of the decade. I then divide cities into five equally sized groups—from the lowest to highest revenue growth—and compare their staffing-contraction experiences. Panel A reports

the share of cities in each quintile that experienced at least one screened contraction; Panel B reports the average number of screened contractions. The displayed points are quintile means and the bars are 95 percent confidence intervals. The model estimates printed in each panel are based on the underlying city-level data, not just the quintile averages.

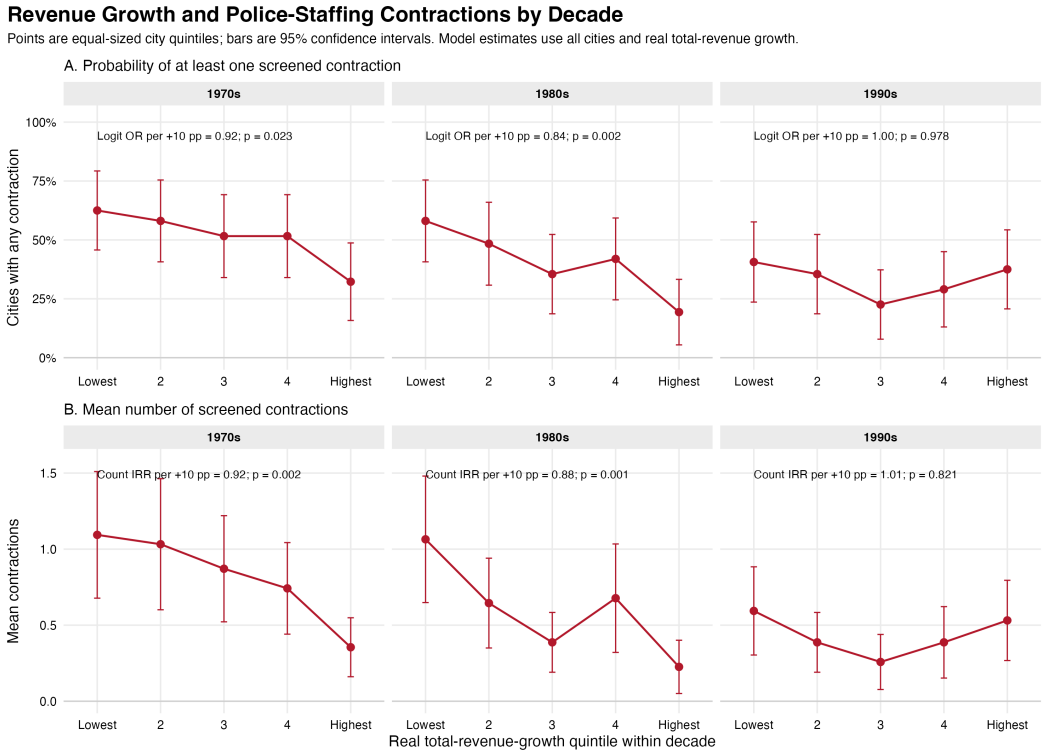


Figure 6: Revenue growth and police-staffing contractions, by decade. Cities are grouped into within-decade quintiles of inflation-adjusted total municipal revenue growth. Points are quintile means and bars are 95 percent confidence intervals. Annotations report estimates from city-level logistic (Panel A) and quasi-Poisson count (Panel B) models, expressed per 10-percentage-point increase in real revenue growth.

The results show a pronounced negative relationship in the 1970s and 1980s. Cities with the weakest revenue growth were substantially more likely to experience a staffing contraction and, conditional on the decade, experienced more contractions on average than cities with the strongest revenue growth. In the 1970s, a ten-percentage-point increase in real revenue growth is associated with an 8 percent reduction in the odds of any contraction and an 8 percent reduction in the expected number of contractions. The relationship is stronger in the 1980s: the comparable estimates imply roughly 16 percent lower odds of any contraction and 12 percent fewer contraction events. By contrast, the 1990s panels are essentially flat, and neither the binary nor count relationship is statistically distinguishable from zero. These patterns are de-

scriptive, but they are consistent with the argument that weak fiscal growth constrained police staffing most clearly during the fiscal pressures of the 1970s and 1980s.

Stylized Fact 3: Weak Revenue Growth Constrained the Expansion of Police Capacity, Net of Violence.

While episodes of personnel retrenchment were widespread and recurring, they did not characterize all large cities throughout the period of urban decline. Many cities continued to expand their administrative capacity, and even among fiscally constrained governments, nominal or real revenues did not necessarily contract. The relevant question is therefore not simply whether fiscal pressure produced outright retrenchment, but how variation in revenue growth shaped cities' ability to expand capacity in response to rising demand. I examine this relationship in two ways. I first examine the relationship between within-city changes in revenue and police staffing, net of changes in violent crime. I then address concerns about the endogeneity of municipal revenues and police staffing by turning to state-imposed tax and expenditure limitations (TELs), which provide institutional variation in local governments' authority to mobilize revenue. Exploiting the staggered adoption of these restrictions in a difference-in-differences framework, I show that externally imposed constraints on local revenue raising reduced municipal fiscal resources and, downstream, public-safety spending and staffing.

Within-City Changes in Revenue and Police Staffing Figure 7 estimates the connection between fiscal growth and police staffing growth using a city fixed-effects framework. Rather than simply comparing places with different demographic and fiscal trajectories, this approach asks whether within-city increases in revenue between 1980 and 1990 were associated with within-city increases in police staffing over the same period, net of changes in population and violent crime. The results show that they were. In the fixed-effects specification, the coefficient on log revenue is 0.176 ($p < 0.001$), while the coefficient on log population is 0.532 ($p < 0.001$); changes in violent crime rates are also positively associated with police staffing growth ($p = 0.008$). Substantively, this means that, within the same city over time, revenue growth remained a strong predictor of police expansion even after accounting for demographic change and changing violence burdens. In other words, cities that became fiscally stronger during the 1980s were better able to expand police staffing, suggesting that local institutional development depended not only on crime pressures but also on the fiscal capacity available to respond to them.



Figure 7: Partial regression plot from a two-period city fixed-effects model relating within-city change in police staffing to within-city change in municipal revenue between 1980 and 1990. Each point represents a city. The fitted line shows the association between change in log revenue and change in log police staffing after accounting for changes in population and violent crime rates. The positive slope indicates that cities experiencing greater revenue growth were more likely to expand police staffing over the decade, even net of demographic change and changing violence burdens.

Taken together, these figures point in a consistent direction. Police capacity matters most when it is measured relative to the burdens of violence confronting local governments, and local fiscal foundations played a central role in determining whether cities could expand policing resources under those conditions. Population decline strongly depressed revenue growth, and weaker revenue growth was in turn associated with slower police staffing growth. In city fixed-effects models, within-city increases in revenue remained strongly associated with within-city increases in police staffing even after accounting for changes in population and violent crime. The clearest implication is that decentralized fiscal inequality constrained the development of local policing capacity precisely where violence burdens were often greatest.

Across cities, weaker revenue growth predicts slower growth in police staffing and public-safety expenditures, even after accounting for changes in violent crime. By focusing on within-city changes over time, the fixed-effects models provide important leverage against time-invariant differences across cities that may

jointly shape their fiscal resources and public-safety capacity. Yet they cannot fully address the possibility that changes in municipal revenues are themselves endogenous to changing economic, demographic, and political conditions that also shape police staffing and expenditures. Distinguishing the effect of fiscal constraint from these jointly determined processes therefore requires additional variation in cities' ability to mobilize fiscal resources.

Effects of TELs on Local Revenues and Expenditures I turn to state-imposed tax and expenditure limitations (TELs) to provide leverage on this identification problem. By restricting local governments' authority to raise revenues or expand expenditures, TELs imposed institutional constraints on the fiscal margins through which cities could respond to changing local conditions. I exploit the staggered adoption of these restrictions in a difference-in-differences framework to estimate their effects on municipal fiscal resources and, subsequently, public-safety expenditures and staffing (See Appendix for model equation). Treatment timing follows Shadbegian (1998) (see Table A1 for state treatment definitions and timing),[6] which identifies state tax and expenditure limitations (TELs) affecting local governments. I code a state-year as treated beginning in the implementation year listed there when the TEL applied to municipalities, counties, or all local governments.[7]

Table 1: Estimated effects of state TEL adoption on local fiscal outcomes

Outcome	Estimate	Std. error	Percent change	p-value	N
Own-source revenue	-0.094	0.037	-9.0%	0.015	1029
Property-tax revenue	-0.127	0.044	-11.9%	0.005	1029
Direct general expenditure	-0.053	0.045	-5.2%	0.239	1029

Note: Standard errors are clustered at the state level.

I begin by estimating the effect of TEL adoption on three logged, per-capita fiscal outcomes: locally raised general revenue, property-tax revenue, and direct general expenditure. Locally raised revenue is total local revenue net of intergovernmental transfers; property-tax revenue is the corresponding local property-tax component. The expenditure outcome captures direct general spending in the state-local sector. I analyze these broad fiscal outcomes first because a TEL should operate most directly by constraining locally generated revenue and, in turn, the resources available for public expenditure.

[6]The analytic panel covers 49 states annually from 1972 to 1992 (1,029 state-years). Twenty-eight states have a qualifying TEL in the coding scheme: seven were already treated when the panel begins, and 21 adopt during the observation window. Thus, the staggered-adoption variation comes from 21 treatment onsets, alongside two treatment exits following the repeal of Utahs TEL in 1986 and Idahos in 1992. Twenty-one states never adopt a qualifying TEL. The TEL indicator equals one in 396 state-years (38.5 percent of the analytic panel), with more than half of in-sample adoptions occurring between 1978 and 1981.

[7]I exclude policies limited solely to school districts, including Iowas school-only TEL, and code treatment as ending when a TEL was repealed (Utah after 1985; Idaho after 1991). Alaska is not included in the analytic sample.

The first set of results indicates that statewide TEL adoption reduced the local fiscal resources available to governments. After a TEL took effect, own-source revenue fell by about 9 percent and property-tax revenue fell by about 12 percent, relative to contemporaneous changes in states without an active comparable TEL. Both estimates are statistically distinguishable from zero. The larger property-tax effect is consistent with the policies operating through their intended channel: constraining local governments' ability to raise revenue from property taxation. The decline in own-source revenue suggests that governments did not fully offset those constraints through other locally controlled revenue sources.

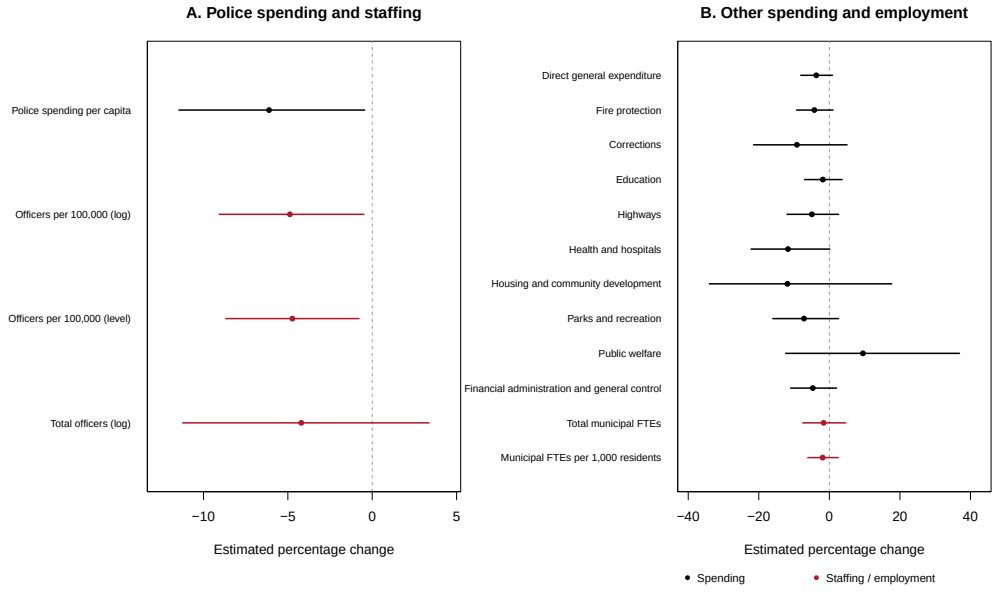


Figure 8: Points are coefficient estimates and horizontal lines are 95% confidence intervals. Spending outcomes are shown in black; staffing and employment outcomes are shown in red. All effects are expressed as percentage changes. The level estimate for sworn officers per 100,000 residents is scaled by its estimation-sample mean.

By contrast, the estimated 5 percent decline in direct general expenditure is not statistically precise. Thus, the evidence is stronger that TELs constrained revenue collection than that they generated an immediate, uniform reduction in aggregate local spending. That pattern is plausible: local governments may partly absorb a revenue shock through reserves, delayed capital projects, intergovernmental aid, debt, or reallocations across functions rather than cutting total expenditure one-for-one.

This distinction motivates the next analysis. Even without a precisely estimated decline in total expenditure, a TEL may have changed how local governments allocated a more constrained or less flexible budget—particularly for personnel-intensive functions such as police protection.

Figure 8 disaggregates the TEL estimates across spending functions and public employment outcomes. TEL adoption is associated with a 6.1 percent decline in per-capita police-protection spending (p = .040) and a 4.9 percent decline in sworn officers per 100,000 residents (p = .035), equivalent to roughly 9.6 fewer officers per 100,000 residents (p = .023). The estimate for total sworn officers is smaller and imprecise, indicating that the staffing result is primarily a decline relative to population rather than a clearly estimated reduction in headcount.

The broader pattern provides less evidence of a generalized contraction in municipal capacity. Most other functional spending estimates are negative but imprecise; the exception is a marginally negative estimate for health and hospitals. Likewise, TEL adoption is not associated with a precisely estimated change in total municipal FTE employment or municipal FTEs per resident. Taken together, these results are consistent with TELs placing particular pressure on police spending and staffing, while offering weaker evidence of an across-the-board reduction in local public employment or functional expenditures.

Newspaper Coverage of the Fiscal Restructuring

The preceding analyses document a broad pattern: fiscal conditions and institutional constraints were associated with variation in local police capacity. But annual revenue, expenditure, and employment data reveal only the observable endpoints of fiscal adjustment. A decline in sworn officers may reflect direct layoffs, a hiring freeze, attrition, vacancy nonreplacement, redeployment across units, or a temporary funding interruption. Conversely, a city may avoid an observed headcount decline by borrowing, cutting compensation, accepting outside aid, or shifting costs to other public functions. Administrative data alone cannot show how city officials understood these choices, which alternatives they considered, or how labor, legal, and political institutions shaped the eventual adjustment.

I therefore supplement the quantitative analysis with an event-linked review of contemporary newspaper coverage. The aim is not to use newspaper articles as a second measure of the prevalence of retrenchment, nor to estimate the causal effect of staffing reductions on crime. Rather, the newspaper evidence reconstructs the institutional process through which fiscal strain became personnel and service adjustment. It identifies the stated fiscal trigger; distinguishes proposed from implemented cuts where possible; traces efforts to avoid or reverse reductions; and documents how officials, unions, courts, and other governments contested the allocation of scarce public-safety resources.

To develop this evidence, I assembled a purposive corpus for Detroit, Newark, and Boston. These cities

were selected because the administrative series records substantial police-staffing contractions and because together they illuminate distinct pathways through which fiscal pressure could reach local police departments: recurrent municipal fiscal crisis and legal conflict in Detroit; dependence on unstable intergovernmental support in Newark; and a tax-limit and property-tax shock in Boston. The cases are not intended to represent all American cities or to establish the frequency of particular responses. They are mechanism cases: contemporaneous accounts of how fiscal constraints were interpreted and translated into decisions about police personnel.

I began with standardized searches of major local newspapers combining city and police terms with keywords including *layoffs*, *furloughs*, *hiring freezes*, *vacancies*, *attrition*, *budget shortfalls*, *deficits*, *tax increases*, *union negotiations*, *arbitration*, *service reductions*, and *federal* or *state aid*. I then followed the context surrounding relevant episodes through adjacent coverage of municipal budgets, court cases, aid programs, labor disputes, and public-safety operations, including articles not returned by the original keyword searches. I retained reporting that documented an actual or proposed adjustment to police personnel, funding, or operations; identified a stated fiscal rationale; or described the role of labor, legal, or intergovernmental institutions. This strategy treats articles as evidence about publicly observable events and contemporary claims, while recognizing that newspapers may omit behind-the-scenes decisions and reflect editorial priorities.

Figure 9 links annual police staffing to the contemporaneous record. Each panel plots sworn officers over time, with red points identifying screened year-to-year contractions. The annotations mark reported fiscal triggers, efforts to buffer cuts through aid or attrition, labor and legal conflicts, and changes in the organization of police work. The figure underscores that a staffing contraction was rarely a discrete administrative event. Rather, it was often the visible result of a longer struggle over municipal budgets, external subsidies, collective bargaining, legal obligations, and the allocation of personnel across police functions.

Detroit illustrates recurrent direct retrenchment under municipal fiscal pressure. The staffing series records contractions in 1976, 1979, 1980, and 1983. Contemporary reporting links the 1976 episode to an austerity budget that placed hundreds of officers at risk of layoff, while the 1983 episode included 224 police furloughs and hundreds of unfilled municipal positions. Yet city officials did not simply reduce patrol in proportion to the budget shortfall. They sought wage and benefit concessions, pursued federal and state support, and redeployed personnel from support and investigative functions to preserve neighborhood patrol. Federal employment assistance also provided a partial buffer: CETA-funded officers received protection during the 1976 layoff process, and federal funds supported rehiring after earlier municipal layoffs.

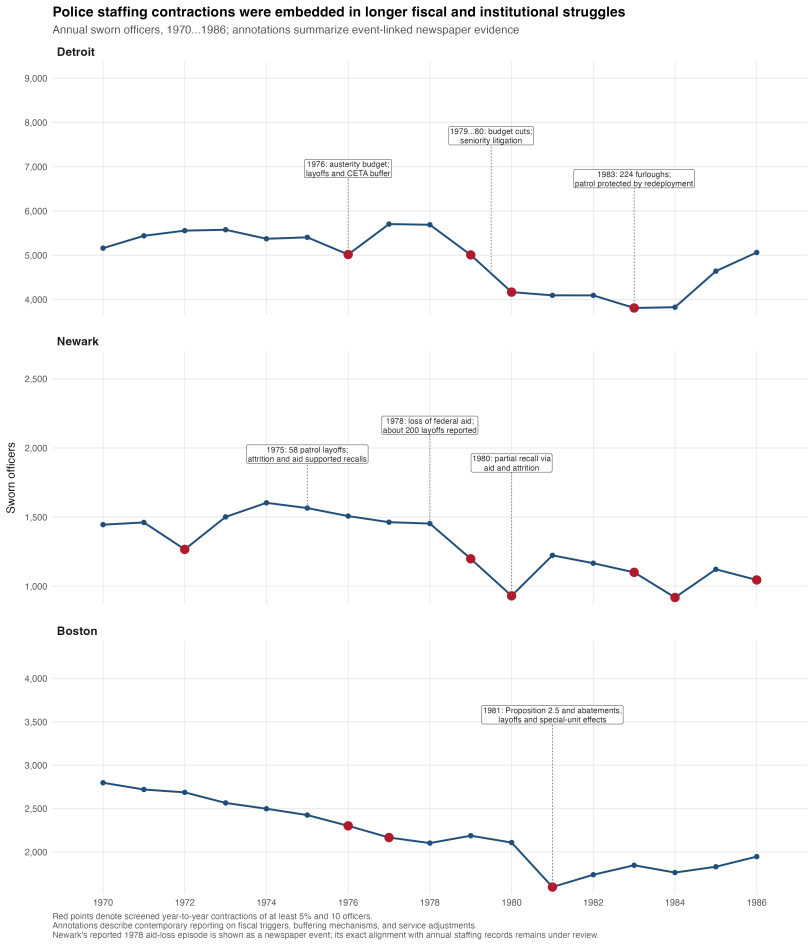


Figure 9: Police staffing contractions as fiscal and institutional adjustment processes. Annual sworn police officers in Detroit, Newark, and Boston, 1970 to 1986. Red points denote year-to-year declines of at least 5 percent and 10 officers. Annotations summarize event-linked contemporary newspaper reporting on fiscal triggers, aid and attrition buffers, labor and legal mediation, and service reallocations. The Newark 1978 aid-loss episode is shown as a reported newspaper event; its exact alignment with the annual staffing series remains under review.

Detroit also demonstrates that fiscal adjustment was distributed through preexisting labor and legal institutions. Seniority rules concentrated layoff risk among recently hired officers, disproportionately exposing Black officers and women hired during the department's recent diversification. Litigation over the 1979–80 layoffs subsequently found the seniority-based policy unlawful. Fiscal stress thus created a personnel-adjustment problem, but collective bargaining, affirmative-action obligations, and judicial intervention shaped whose jobs were at risk and whether cuts could be sustained.

Newark reveals a related but distinct pathway: aid dependence made police capacity vulnerable to the

loss or interruption of external support. During the 1975 fiscal crisis, the city implemented patrol-officer layoffs while officials and the police union disputed whether productivity savings or benefit concessions could avert further cuts. Subsequent recalls were financed piecemeal through attrition, state Safe Streets funds, federal community-development support, and a special federal program; reporting indicated that the department went two years without new hires. A later newspaper account attributed the 1978 layoff of roughly 200 officers to the loss of federal anti-recession aid. Because the timing of that report has not yet been reconciled fully with the annual staffing series, it should not be read as a precise explanation for a particular registry observation. It nevertheless identifies the relevant mechanism: external aid served as a contingent substitute for local fiscal capacity, and its withdrawal could sharply narrow the city's ability to sustain sworn personnel.

Boston shows that direct retrenchment was not confined to the most distressed industrial cities. Following Proposition 2(1/2) and court-ordered property-tax abatements, the city issued successive layoff notices and laid off patrol officers in 1981. The available reporting gives different headcounts at different points in the process, but consistently indicates a substantial direct reduction rather than merely a slowdown in hiring. The city considered borrowing to finance rehiring, while federal litigation over minority representation complicated a seniority-based layoff plan. Reporting also described reductions in specialized police activity and a contemporaneous decline in arrests relative to reported serious crime. These accounts do not establish that the layoffs caused crime to increase. They do show that contemporaries understood fiscal adjustment as affecting not only payroll but also the department's capacity to investigate offenses and sustain specialized functions.

Taken together, the cases clarify the relationship identified in the quantitative analysis. Weak revenue growth and tax constraints were associated with lower police capacity, but fiscal deterioration did not mechanically generate an equivalent decline in sworn officers. Cities first attempted to buffer police staffing through outside aid, borrowing, attrition, vacancy holds, redeployment, and compensation restraint. Direct retrenchment became more likely when those buffers proved inadequate or when external support disappeared. The central issue, therefore, was not simply the amount of municipal revenue available in a given year. It was whether local governments could access durable fiscal buffers and how labor, legal, and political institutions governed the distribution of adjustment once those buffers failed.

Discussion

The growth of incarceration is often taken as evidence that the American state became more powerful through its coercive institutions (Gottschalk 2008; Hinton 2016; Lerman and Weaver 2014). But the expansion of prisons did not occur within a single, unified system of coercive capacity. It occurred in a federal system that assigned different parts of the criminal legal process to governments with different tax bases, revenue authority, and access to intergovernmental resources. States expanded the institutions responsible for punishment after conviction, while many cities faced declining fiscal room to sustain the institutions responsible for responding to violence before cases reached the correctional system. The result was not simply an expansion or retrenchment of the American coercive state. It was a reorganization of coercive capacity across governmental tiers.

The evidence suggests that this divergence was tied to the changing fiscal position of cities. During the 1970s and 1980s, police staffing contractions were widespread among large cities, and they were concentrated in places with weaker revenue growth. Within cities, greater revenue growth was associated with greater police-staffing growth even after accounting for changes in population and violent crime. These patterns alone cannot establish that fiscal conditions caused staffing changes: population loss, economic restructuring, violence, and local political choices were closely connected. But the TEL analysis identifies one institutional channel through which fiscal constraint mattered. State-imposed limits on local taxation reduced the revenues available to local governments and were followed by lower police-protection spending and fewer sworn officers per resident. The findings thus suggest that fiscal institutions shaped not only how much cities could spend, but whether they could translate growing demands for public safety into durable organizational capacity.

At the same time, the evidence does not support a simple account in which fiscal pressure produced an automatic or uniform collapse of local government. TEL adoption was more clearly associated with police spending and staffing than with a precisely estimated decline in aggregate municipal employment or total expenditure. The newspaper cases help explain why. Cities did not move directly from a revenue shortfall to police layoffs. They drew on federal and state aid, borrowing, attrition, vacancy holds, wage restraint, and redeployment in attempts to preserve staffing. When those buffers proved inadequate, however, fiscal stress became a problem of organizational allocation. Detroit, Newark, and Boston show that labor contracts, seniority rules, affirmative-action obligations, court orders, and the availability of outside subsidies shaped not only whether staffing fell, but which officers and police functions bore the costs. Retrenchment could preserve patrol by shifting losses onto investigative, specialized, and support functions; it could also

concentrate the risks of adjustment among recently hired officers. Fiscal constraint, in other words, was mediated through local political and bureaucratic institutions rather than simply imposed on them from outside.

This distinction matters for how we think about local state capacity. Capacity is not exhausted by a city's total revenue, total employment, or even its total number of sworn officers. It concerns the ability of an organization to sustain the personnel, specialized units, investigative functions, and administrative routines needed to perform the tasks assigned to it. A city may avoid a visible headcount decline while allowing vacancies to accumulate, reducing hiring, moving officers across units, or relying on temporary outside aid. These forms of adjustment are less visible in aggregate finance data, but they are central to the everyday capacity of public-safety institutions. They also help explain why the fiscal consequences of urban decline were uneven. Cities entered the violent-crime wave with different revenue structures, different access to outside resources, different legal constraints, and different institutional means of absorbing fiscal pressure.

The findings do not imply that local fiscal constraint caused the violent-crime increases of the late twentieth century, nor do they estimate the effect of police staffing reductions on crime. Violence was shaped by national and local forces that extended well beyond municipal government, including demographic change, the emergence of crack markets, and the diffusion of firearms. The argument is instead about the conditions under which cities confronted those pressures. When violence rose, some local governments had stronger tax bases, greater fiscal flexibility, or more durable access to outside support than others. Others were asked to meet growing public-safety demands from increasingly constrained local resources. The relevant question, then, is not whether municipal governments alone determined violence, but whether they possessed the capacity to respond when broader social forces increased the demand for public safety.

More broadly, this perspective contributes to theories of state capacity by showing that capacity can vary vertically within a common state apparatus. Research on state capacity has emphasized that extractive, administrative, legal, and coercive capacities do not necessarily develop together, and that the state's reach varies substantially across territory (Hanson and Sigman 2021; Luna and Soifer 2017; Suryanarayan 2024). The American case adds a related point: even closely connected coercive functions can develop along different trajectories when they are funded and administered by different levels of government. The expansion of state prisons therefore cannot stand in for the capacity of the criminal legal system as a whole. It may instead have been deeply intertwined with a growing divergence between state-level punishment and local institutions' capacity to respond to violence. Fiscal federalism is central to that divergence because it determines not only where authority is located, but also which governments have the resources to sustain the organizations through which state authority is exercised.

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Online Appendix

Building Prisons, Hollowing Cities: Fiscal Retrenchment and Local Public Safety

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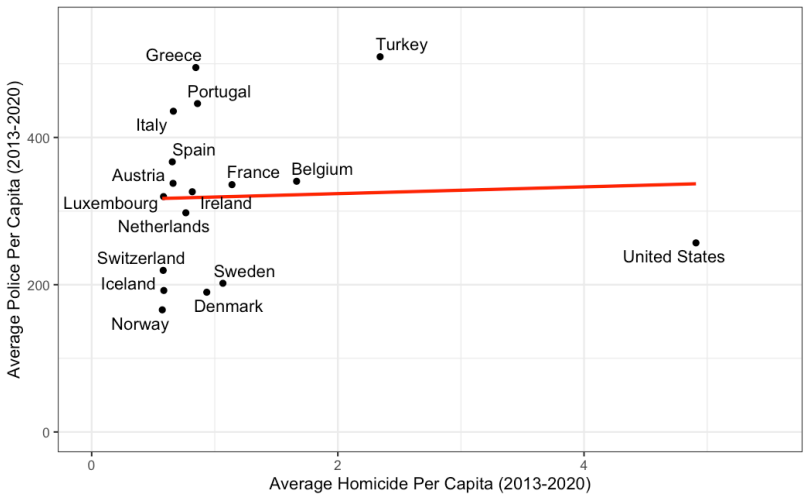


Figure A1: Homicide rates and police strength in the United States and EU OECD countries, 2013 to 2020. Sources: Eurostat and FBI Uniform Crime Reporting data.

Diverging National Investments in Police Protection and Corrections, 1971–1992

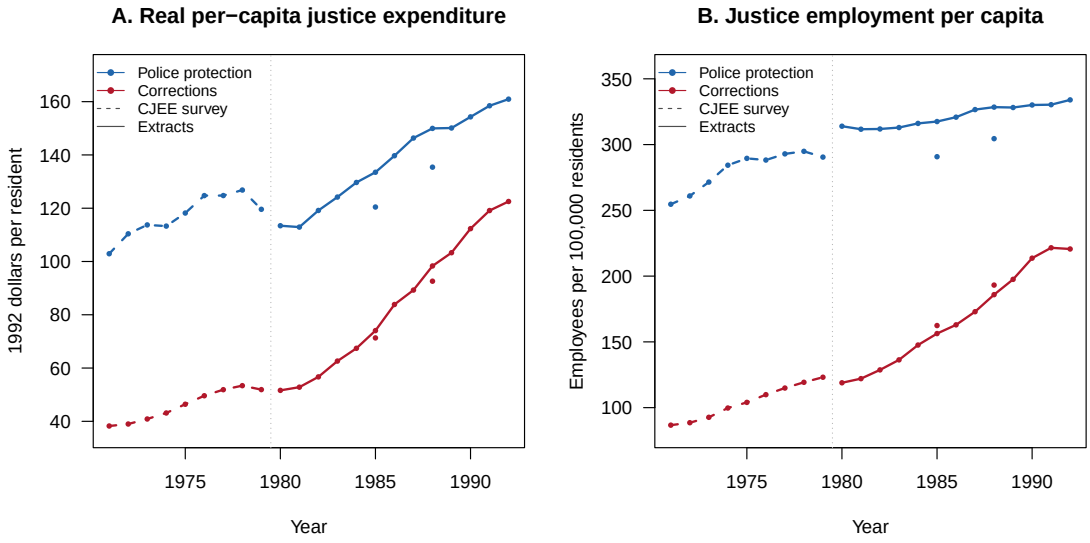


Figure A2: Diverging National Investments in Police Protection and Corrections, 19711992

Figure A2 draws on Bureau of Justice Statistics national Criminal Justice Expenditure and Employment (CJEE) data on police protection and corrections. For 1971–79, the figure uses the original CJEE survey's national totals for expenditure and full-time-equivalent employment; it also reports the survey's available 1985 and 1988 observations. For 1980–92, it uses BJS's Justice Expenditure and Employment Extracts, derived from Census Bureau government finance and employment surveys. Nominal expenditures are converted to 1992 dollars using the annual Consumer Price Index for All Urban Consumers and divided by annual U.S. population; employment is expressed per 100,000 residents.

The figure plots police protection and corrections separately and marks the 1979–80 source transition. Because BJS changed survey coverage, sampling, collection procedures, and some functional definitions after the original CJEE survey ended, the pre-1980 CJEE and 1980–92 Extracts series are displayed as distinct descriptive series and are not treated as a single seamlessly comparable trend.

Model Equation for TEL Analysis

For each fiscal outcome, I estimate two-way fixed-effects models of the form

$$\log(Y_{st}/\text{Population}_{st}) = , \text{TEL}st + {}_s + {}_t + X_{st} + {}_{st} \tag{1}$$

where (Y_{st}) is local revenue, property-tax revenue, or direct general expenditure in state (s) and year (t); $({}_s)$ are state fixed effects; and $({}_t)$ are year fixed effects. The models adjust for logged population, private income per capita, and state and federal intergovernmental revenue per capita, with standard errors clustered by state. This design compares within-state changes in fiscal outcomes following adoption with contemporaneous changes in states not yet exposed to a comparable statewide local-government TEL. State fixed effects absorb stable cross-state differences in fiscal institutions and baseline service levels, while year fixed effects absorb national shifts in inflation, macroeconomic conditions, and federal fiscal policy.

Table A1: State-imposed Property-Tax Limitations

State	Year implemented	Policy description
Colorado	1913	Property-tax levy growth limit covering counties and municipalities; the allowable growth rate changed over time.
Oregon	1916	Property-tax levy growth limit of 6% covering all local governments.
Utah	1969	Property-tax levy growth limit of 6% covering all local governments; repealed in 1986.
Kansas	1970	Aggregate property-tax levy capped at the prior year's level for counties and municipalities.
Minnesota	1971	General local-revenue growth limit covering counties and municipalities; the allowable rate changed over time.
Washington	1971	Property-tax levy growth limit of 6% covering all local governments.
Arizona	1913	Property-tax levy limit covering local governments.
Delaware	1972	Property-tax levy growth limit of 15% covering county governments.
Indiana	1973	Property-tax levy growth limit covering all local governments; the allowable rate changed over time.
New Jersey	**1976**	**General expenditure-growth limit of 5% covering municipalities and school districts.**
Ohio	**1976**	**Property-tax levy growth limit of 1% covering all local governments.**
California	**1978**	**Proposition 13: 1% property-tax rate limit and 2% annual assessment-growth limit covering all local governments.**
Louisiana	**1978**	**Aggregate property-tax levy capped at the prior year's level for all local governments.**
Michigan	**1978**	**Aggregate property-tax levy limited to the prior year's level after inflation for all local governments.**
Idaho	**1979**	**Property-tax levy growth limit of 5% covering all local governments; repealed in 1992.**
Kentucky	**1979**	**Property-tax levy growth limit of 4% covering all local governments.**
New Mexico	**1979**	**Property-tax levy growth limit of 5% covering all local governments.**
Massachusetts	**1980**	**Proposition 2.5: municipal property-tax levy growth limit of 2.5%.**
Mississippi	**1980**	**Property-tax levy growth limit of 10% covering all local governments.**
Missouri	**1980**	**Aggregate property-tax levy limited to the prior year's level after inflation for all local governments.**
Arkansas	**1981**	**Property-tax levy growth limit of 10% covering all local governments.**
North Dakota	**1981**	**Property-tax levy growth limit covering counties and municipalities; the allowable rate changed over time.**
Nevada	**1983**	**Property-tax levy growth limit covering counties and municipalities; the allowable rate changed over time.**
Rhode Island	**1985**	**Municipal property-tax levy growth limit of 5.5%.**
Montana	**1987**	**Property-tax levy growth limit of 0% covering counties and municipalities.**
Nebraska	**1990**	**Property-tax levy growth limit of 5% covering counties and municipalities.**
West Virginia	**1990**	**Property-tax levy growth limit of 1% covering all local governments.**
Illinois	**1991**	**Property-tax levy growth limit of 5% covering all local governments.**

Note:
Bold rows identify TELs that became active during the 197292 analysis window.